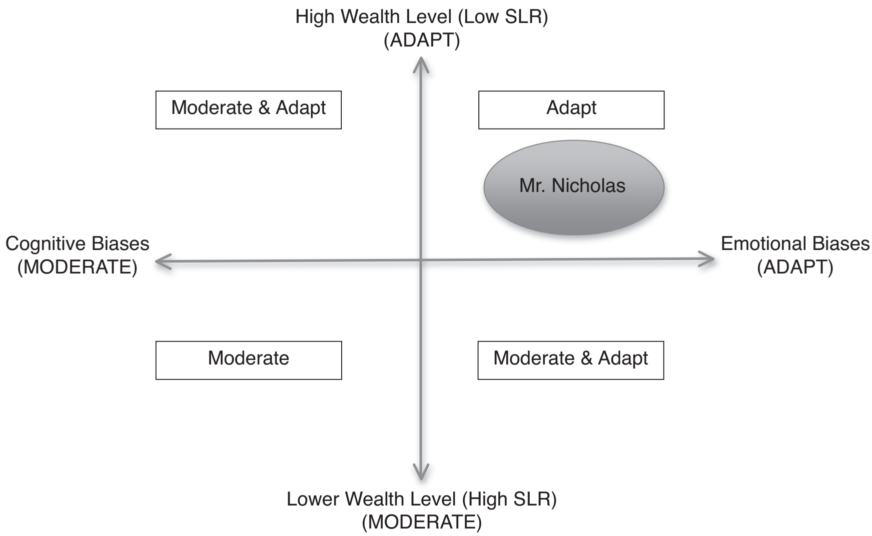

FIGURE 25.1 Illustration of Mr. Nicholas's Case Study Information

emotional biases at a high wealth level, in Spencer's judgment, an appropriate behaviorally modified asset allocation is an allocation of **60 percent stocks, 30 percent bonds, and 10 percent cash**. When Spencer checks his financial planning software to make sure that this allocation will statistically ensure that Mr. N will have adequate living expenses in the event of a market downturn, it shows that the behaviorally modified asset allocation indeed works. Thus, Spencer recommends this allocation to Mr. N, explaining how he arrived at that particular allocation recommendation.

CASE STUDY B: MRS. ALEXANDER

Mrs. Angela Alexander ("Mrs. A") is an 85-year-old widow from Australia with a modest lifestyle and no income beyond what her investment portfolio of $1.5 million generates (about $90,000 per year) and a small government pension of $10,000 annually. Her advisor, Mr. Gerard Spencer, has known Mrs. A for about 10 years. Although Mrs. A did not clearly articulate her investment goals when Spencer first started working with her, over time Spencer has learned that Mrs. A's primary investment goals are (1) to not lose money and (2) to maintain the purchasing power of her assets after fees and taxes. Her desire to not lose money stems from the fact that she recalls that her parents grew up in a lower-middle-class family and she was one